

# The Impact of Import Competition on Stock Market Performance: Evidence from Japan, China, the USA, and Canada.

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## Abstract:

This research paper examines the impact of import competition on stock market performance in Canada, China, and the USA. Drawing on a comprehensive analysis of macroeconomic factors, dividend payments, and stock market dynamics, the study investigates the relationship between import competition and stock market performance in these countries. Using a mixed-methods approach, including quantitative analysis and case studies, the research uncovers sector-specific effects and explores the mediating role of macroeconomic factors. The findings reveal nuanced patterns, highlighting both the positive and negative impacts of import competition on stock market performance across the selected countries and time periods. Furthermore, the study contributes to the literature by offering policy implications and recommendations for managing the effects of import competition on stock markets, particularly in the context of economic crises and global uncertainties. Overall, this research sheds light on the complex dynamics between import competition, macroeconomic factors, and stock market performance, providing valuable insights for investors, policymakers, and market participants.

- **Introduction**

The interaction between macroeconomic factors and the development of the stock market in recent decades has been prominent in both academic and practical literature. Researchers and practitioners have carefully studied the impact of fundamental macroeconomic variables such as exchange rates, interest rates, industrial production, and inflation on stock prices. It is widely recognized that public financial policies and macroeconomic events significantly affect overall economic activity, including the functioning of the stock market. Consequently, numerous studies have focused on examining the dynamic relationship between stock returns, dividend payments, and macroeconomic variables.

One of the macroeconomic variables is import competition. This phenomenon usually comes from developing countries to developed ones. When domestic firms face competition from foreign ones. In recent decades, the process of globalization has gained momentum, resulting in heightened exposure of domestic industries to import competition. Labor-intensive sectors, including clothing and textiles, have particularly experienced significant challenges as they face strong competitive forces from countries with low-paid labor, including India and China (Andrew B., J, Bernard 2006). As a consequence, the contribution of the US manufacturing sector to the overall GDP dropped from 24% in 1970 to 13% in 35 years (2005). Moreover, at the individual corporation level, the growing influx of imports has steadily boosted the pressure of competition, resulting in business closures or redistribution.

For the first time, the influence of import competition on the stock market became noticeable during the expansion of Japanese companies in the United States. Thus, the Japan Exchange Index (Nikkei

225) in 1970 was at the level of 2000 Japanese Yen, while the index of the top 500 US companies (Standard & Poor's 500) was at the level of 713 US dollars. But after only 12 years, the situation on the two stock exchanges has changed. The S&P 500 was at \$334, while the Japanese stock index soared to 7,737 yen. This situation shows that the emergence of foreign competition has dramatically affected both markets, and there are hundreds of such examples.

The influence of import competition on a specific aspect of the stock market, namely dividends, was initially observed by Fama and French (2001). Their research highlighted a significant decline in the proportion of public companies paying dividends in cash, dropping from 66.5% in 1978 to 20.8% in 1999. Even when considering the evolving characteristics of these firms, the trend of declining dividend payments persisted. While various theories have been put forward to explain this phenomenon, one crucial factor often overlooked is the changing business landscape confronted by US corporations. A notable characteristic of this transformed business environment is the escalating competition from imports as an increasing number of international competitors enter the United States market. That surge in Trade competition is a consequence of reduced trade barriers and lower transportation costs, both integral elements of the globalization process. For domestic firms, heightened importing competitiveness and subsequent erosion of market power lead to a diminished market influence along with a transformation in the industrial framework (JR Tybot, 2003; Helpman, Elhanan, and Paul Krugman, 1987.)

A change in the structure of an industry leads to a transformation in both the behavior and the firms' performance. During this investigation, I will examine the consequences of heightened importing competition. There is a rich body of research on how companies address heightened competition

through their operational actions, such as entry and exit decisions<sup>1</sup>. However, there are very few published studies on how import competition affects stock market behavior. This is rather surprising, given the fact that stock market changes are typically more flexible than the decision to cease operations or reorganize physical resources. Throughout this study, I will fill this void by studying the movement of the stock market around the world, especially by means of analyzing one of the timeless mysteries in finance: How does import competition affect stock market performance, considering factors such as market volatility, investor sentiment, and sector-specific effects?

The research paper will start with the Literature Review and the hypothesis. In the main body of the paper, we will first discuss “The Miracle of Import Competition”. I will explore the origins of the term import competition and how developed countries were first exposed to this phenomenon. Section 2 will discuss “How Dividend Payments and Employment Rates Affect Stock Market Performance?”. This section extols clarity on the relationship of factors like Dividend Payouts and Employment Rates to the movement of the stock market. Section 3 provides a concise overview of the data collection process employed in this study. After that, the conclusion and reference of the cited papers will be followed.

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A selection of recent studies comprises Andrew B., J, Bernard (2006), Hutzschenreuter, Thomas, and Florian Gröne. (2009) , and Liu, Runjuan, (2010).

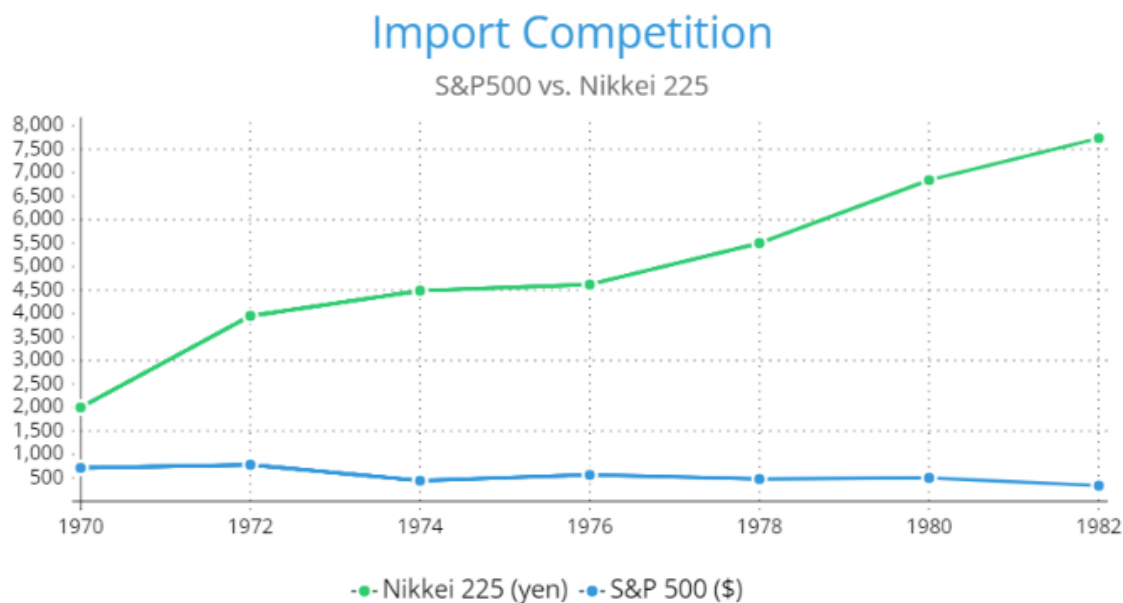
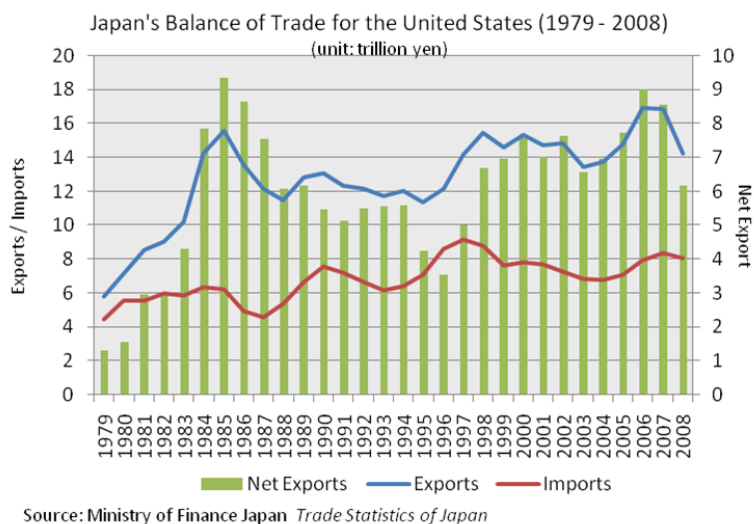


Chart 1. Comparison between Japanese Stock Market Index (Nikkei 225) and U.S Stock Market Index (S&P 500)



Trade Balance of Japan with the U.S. for comparison with Chart 1.

- Literature Review and Hypothesis**

However, relatively recently, such a phenomenon as import competition began to appear. For the first time, this effect began to noticeably manifest itself in 1970-1980, when Japan began to conquer US

markets such as transport, technology, etc. and US corporations came to the realization that “industries that were viewed as immune from international competition due to the specificity of knowledge or the existence of transportation costs are suddenly the object of international competition” (Bruce Kogut, 1984). This progression accelerated with the ongoing decline of trade restrictions and logistical expenses, coupled with the increasing entry of the newly industrialized countries into the American market. In this course of action, the exposure of industries to importing competition hinged on their structural characteristics, which encompassed factors including market circumstances, cost system, and state regulations. (Contractor, Farok J., Sumit K. Kundu (2003) and Chin-Chun Hsu; Yip, George S. (1989)). Numerous fact-based studies have provided substantial evidence indicating that the rise in import competition has brought about significant transformations in the market structure of manufacturing firms. Notable research conducted by Pugel (1980) and Katics and Petersen (1994) in the United States, Machin and Conyon (1991) in the United Kingdom, and G.M.Levinsohn (1993) and Tybout and Roberts (1996) in developing countries, has convincingly demonstrated a decline in profitability among firms operating in the face of increased import competition.

Later research advanced it to the next stage by analyzing the tactical reaction, specifically the behavior of local companies in light of heightened competition from imports. Bernard A. B., Jensen J. B., and Schott P. K (2006) concluded that factory longevity and success are adversely, and detrimentally connected to an industry's dependence on foreign goods. Furthermore, the resilient companies adapted their product assortment and redistributed manufacturing operations in favor of investment-heavy enterprises in which the firms had a dominant position. Hutzschenreuter, Thomas, and Florian Gröne. (2009) point out that a significant number of U.S. corporations have scaled back operations and the extent of geographical coverage. Liu, Runjuan, 2010, believes

that competition from imports has resulted in diversified corporations in the United States of America moving away from secondary goods to concentrate on their primary business. The compelling evidence suggests that expanded competition from imports has disrupted the bargaining strength of domestic firms and pressed them to adopt strategic measures to limit their susceptibility to this escalated competitive risk. In spite of that, we have only a few studies that have investigated exactly how these changes are reflected in the stock market.

Corporate dividend policy is intricately linked to the consistency and long-term viability of future cash receipts. Notably, empirical research by Lintner (1956) reveals that managers tend to exhibit caution when considering increases in cash dividends, as they are hesitant to make commitments that may need to be changed as a result of unexpected Cash turnover disruptions. Considering the possible effect of the higher importing competition on a company's ability in maintaining stable and sustainable future cash flows, I propose the following:

**Hypothesis 1: Firms facing heightened import competition exhibit a decreased likelihood of distributing dividends.**

The role of import competition as a driver of labor displacements and movements is a subject of debate. While some argue that increased competition from foreign sources has minimal impact on aggregate employment and wages, which are primarily influenced by macroeconomic factors and policies, others acknowledge that shifts in comparative advantage can lead to significant reallocations of resources across sectors. These structural changes may result in substantial changes in rewards for factors of production that do not easily move between sectors. Import competition is often seen as a

major cause of harm to workers in adversely affected sectors, while potentially benefiting workers in sectors that experience gains from shifts in trade patterns.

Several studies have challenged the notion that a significant number of jobs in specific sectors were lost to foreign competitors. Scholars such as Krueger, Anne (1979), Weintraub, Sidney (1956) and Black, Stanley W., and Harry H. Kelejian. (1970) have argued that, in comparison to other dynamic structural changes within an economy, such as varying rates of technological progress, differences in the income elasticity of demand, and disparities in the accumulation of alternative factors of production, import competition played a relatively minor role in labor displacement.

However, it is important to note that these conclusions have faced criticism due to the methodology employed by these authors. Their reliance on an accounting decomposition approach, which aims to isolate the causes of changes in sectoral employment, has been questioned by Gene Grossman (1982) and found to lack general validity. This approach may attribute job displacements to technological changes when in reality, they were triggered by intensified import competition. Essentially, the accounting procedure fails to differentiate between shifts in production possibilities and movements along isoquants. Furthermore, this approach's identification of the extent of import competition based on the share of imports in domestic consumption is problematic. This measure does not only vary with shifts in the foreign supply curve for imports but also with changes in domestic industry supply conditions.

In fact, while some papers dispute the notion that foreign competition was a major cause of job losses in certain sectors, there has been criticism of the flawed methodology used. It is important to consider the limitations and difficulties of assessing the true impact of import competition on labor substitution



in 20th-century research papers. For instance, in the year 2000, the importation percentage from developing (low income)<sup>2</sup> countries in the United States amounted to 6.6%, and this figure steadily rose to 16.3% by 2007. Notably, a significant portion of this growth, approximately 88.2%, was attributed to imports from China. During the same time frame, the proportion of the U.S.A working-age population engaged in manufacturing experienced a drop of one-third, decreasing from 12.6% to 8.4%.

Since, recent papers such as Acemoglu, D., Autor, D., Dorn, D., Hanson, G. H., & Price, B. (2016) and Autor D. H., Dorn D., Hanson G. H (2013) have now confirmed the effect of import competition on employment with the help of empirical evidence, a second hypothesis should be put forward based on a review of this literature:

**Hypothesis 2: Import competition has a negative impact on domestic firms' (mostly labor-intensive) employment levels.**

- **Body**

### Section 1: **“The Miracle of Import Competition”**

Scholars engage in vigorous debate regarding the precise origins of import competition. Economic globalization of competition is a historical progression propelled by the intertwined forces of innovation and technology. Broadly speaking, importing competition denotes the increasing

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<sup>2</sup> I classify countries as low income based on the World Bank's 1989 definition, as presented in the accompanying online Data Appendix

interconnectedness of economies worldwide. This heightened integration stems from the movement of goods, services, and capital across borders, as well as the flow of people and knowledge across international boundaries.

Various arguments exist regarding the onset of international competition as a phenomenon. Some contend that import competition traces back to the earliest human migrations, while others point to Genghis Khan's invasions or the exchanges along the Silk Road. During the era of the Silk Road, India, and China emerged as the world's dominant economies, jointly commanding around 90% of global economic output (Angus Maddison, 2006). This dominance can be attributed to the abundant resources, both in terms of capital and human labor, possessed by these two regions at the time. "China's remarkable abundance of mineral resources, often regarded as the most plentiful among all countries on earth, coupled with its vast pool of exploitable labor, indicate a significant and promising future for the nation." (Tamara Chin, 2013).

According to other researchers (Acemoglu D. et al, 2016 Autor, David H., David Dorn, and Gordon H. Hanson, 2013), importing competition is perceived as a more recent phenomenon, primarily taking shape in the contemporary era, with its origins tracing back no earlier than World War II. The term "import competition" itself gained widespread usage from the 1980s onwards.

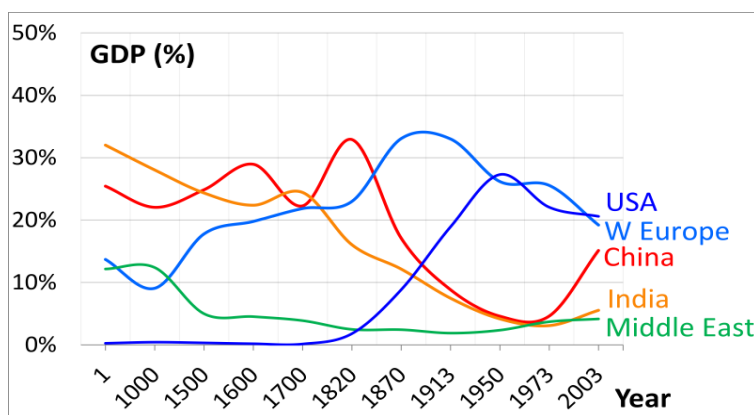


Chart 2. Estimate of GDP (Source: Angus Maddison's estimates)

Irrespective of varying interpretations, the fundamental essence of foreign competition lies in the exchange of ideas, capital, and goods on a global scale. Technological advancements, whether in the form of ships during historical periods or the internet in modern times, have played a pivotal role in driving and facilitating this process of global interconnectedness.

Following World War II, there was a global push among nations to dismantle trade barriers, foster free trade, and establish global institutions. The Bretton Woods Conference<sup>3</sup> in 1944 gave rise to the creation of the World Bank and the International Monetary Fund (IMF) which played crucial roles in promoting free trade and reducing trade barriers among member countries. The establishment of these global organizations facilitated increased economic integration and reduced restrictions on international trade, thereby fostering a more open and competitive global market for imports.

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<sup>3</sup> The Bretton Woods Conference was a landmark international gathering held in Bretton Woods, New Hampshire, United States, in July 1944. It brought together delegates from 44 countries to establish a framework for post-World War II economic cooperation and create institutions to promote global monetary stability and international trade.

According to one perspective, the concept of import competition cannot be traced back prior to the late 1940s. This timeframe coincided with the post-war era when the United States emerged as the economic powerhouse of the world. Under this definition, import competition refers to the presence and impact of foreign firms and products in domestic markets, leading to heightened competition for domestic producers. It arises when imported goods or services are capable of rivaling or substituting domestically produced counterparts. Proponents of this view emphasize the unprecedented ease of global travel and the development of modern communication systems as key enablers of import competition. Anne O. Krueger, former first deputy managing director of the IMF, argued that by 1960, globalization and the level of economic integration across the world were significantly lower than they were fifty years later.

The real penetration of imports into developed countries like the USA, Canada, Norway, and others began in the 21st century when countries with a large amount of working capital initiated the process of entering various kinds of world trade organizations. Namely, when the Republic of China joined the WTO in 2001-02. An inflection has begun in the economy, specifically, in the penetration of imports and spending on them.

While the influence of freer trade on salaries and employment can be observed with countries at various income levels, trade theory suggests that low-wage countries pose a greater potential displacement to the well-paid employment market (Krugman, Paul R, 2008). In 1993, low-inc countries comprised for a mere 3.7% of the United States manufacturing-sector importations, as depicted in Data-Table 1. On the other hand, significant transformations have occurred since then, primarily driven by China's remarkable economic growth. By the year 2000, the proportion of U.S. importing from developing nations had risen to 6.6%, and by 2007, it had surged to 16.3%, with China

contributing to 88.2% of this growth. Notably, the proportion of total U.S. expenditure on Chinese goods experienced a substantial increase, climbing from 0.6% in 1993 to 4.6% in 2007 (Chart 5). This shift was further accentuated by Chinese membership in the WTO by 2001.

Simultaneously, the percentage of the U.S. working-age<sup>4</sup> population employed in the manufacturing sector witnessed a significant decline over the same period, plummeting by a third from 12.6% to 8.4% (Chart 5). The substantial current-account imbalances between the United States and China further amplify the Chinese possible influence on the United States Employment Sector. Throughout the 2000s, China consistently maintained an average surplus in the current account equivalent to 5 % of its Gross Domestic Product, a figure that matched the concurrent mean of the United States' current account negative balance. Consequently, U.S. sectors encountered a significant surge in importing competition from China, without a corresponding increase in demand for United States exports.

These developments underscore the transformative nature of China's growing presence in international trade and its implications for the United States Employment Sector. The ensuing imbalances and intensified import competition have posed notable challenges for U.S. industries.

## **Section 2: “How Dividend Payments and Employment Rates Affect Stock Market Performance?”**

During the review of the collected literature, I put forward two hypotheses based on the empirical research of other scientists. The first is that the likelihood of paying dividends in a sector that is subject

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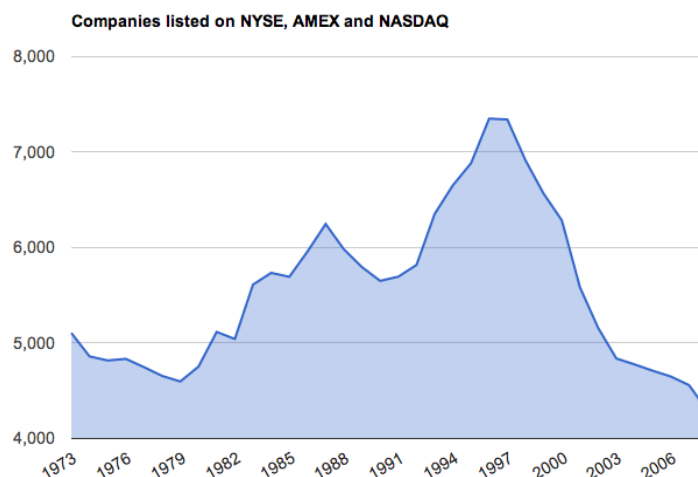
<sup>4</sup> The working age population is defined as those aged 15 to 64

to strong import competition is sharply reduced. The second is that the employment rate in the manufacturing sectors of developed countries also falls when faced with competition from labor-intensive countries. This section will reveal the relationship of these two factors (dividend payment and employment rate) to the behavior of the stock market.

The phenomenon of disappearing dividends, initially identified by Fama and French (2001), has garnered considerable attention within the research community as it challenges the predictions of corporate financial theory. However, a crucial aspect that has yet to be thoroughly examined is the impact of trade liberalization on the business environment during this period. The traditional domestic-focused model, traditionally applied in the United States, may no longer be suitable given the changing dynamics. Notably, over the past three decades, there has been a persistent and significant increase in import penetration, leading to heightened competition across various sectors of the U.S. economy. According to the information provided by Zhou et al. (2013) research work actual number of Dividend Payers in Manufacturing sectors in the U.S dramatically declined from 73% to 23% in the time frame from 1979 to 2002 (Chart 3). This decline in the number of companies paying dividends was expected, the Fama-French model predicted a similar trend in the number of companies paying dividends (Zhou et al.). We can relate this to the Import Competition from Japan (the 1970s-1990s) and China because as I said in the literature review, big companies were pressured to reallocate their business to the sectors where they have a comparative advantage, but the firms stopped paying dividends were mostly small firms. “Small firms become much less likely to pay dividends after 1978” (Fama and French, 2001). The reason is that they don’t have the flexibility across the sectors and assets to reallocate their production quickly as large firms have. The number of listed companies has declined since around 1998. Import competition pressured Big Companies to reallocate their business to the sectors where they have a

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comparative advantage, but the delisting firms were mostly small firms. That's why the number of Dividend Payers and Listed Companies was mostly affected by Import Competition from all over the world.

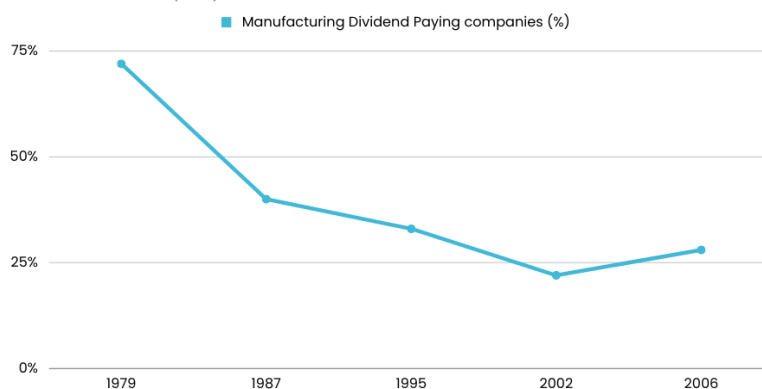


The Number of Companies Listed in the U.S stock exchanges.

Source: <https://guan.dk/public-companies-data>

### Dividend Payment and Import Competition

Source: Zhou et al. (2013)



Note: Actual Percentage of dividend payers for year t is the percentage of firms that actually pay dividends in that year. All data were gathered from Jun Zhou et al (2013) research work.

Chart 3. Dividend Payers in the U.S (%), Manufacturing sectors

If we look at the performance of the Dow Jones Industrial Average over the same period of time, we will notice that the index rose steadily until 2001. But in 2001-02, something happened and the indicators of the index and the companies included in it collapsed. This was due to China's entry into the WTO

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in 2001. However, some may mistakenly relate these dates to the dot-com crisis, but the Dow Jones Industrial Average (DJI) did not fall at the same time as other indices as Nasdaq Composite or S&P 500, which mainly fell in 2000-01, due to the dot-com bubble, and there were only 3 technology companies (Microsoft, Intel, and IBM) in the composition of DJI for the period of 2002. So, on chart 4 we can see that the dot-com bubble period is underlined in gray and the subsequent drop in the index may be caused by the factor of import competition.

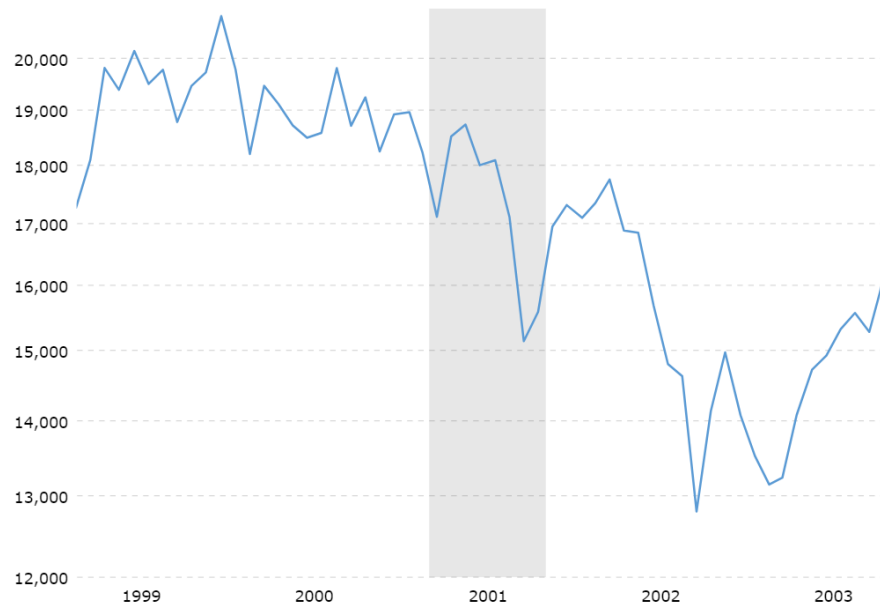


Chart 4. DJI index (Inflation-Adjusted price) from 1999 to 2003

Source: [www.macrotrends.net/1319/dow-jones-100-year-historical-chart](http://www.macrotrends.net/1319/dow-jones-100-year-historical-chart)

After that, I looked for a specific example to prove that the poor performance of the company included in the DJI index was caused precisely by import competition. I found that Alcoa Inc.<sup>5</sup> actually was affected by import competition from a Chinese company (Aluminum Corporation of China), which was founded in September 2001 after China entered the World Trade Organization. In 2001, they announced in their annual report that “Alcoa becomes the first aluminum company to establish a

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<sup>5</sup> Alcoa Inc. - one of the world's largest producers of aluminum and alumina, primarily used in the manufacturing and construction industries.



foothold in primary aluminum production in China, the fastest-growing market in the world.” But, already in the 2002 annual report, they announced a 54% down in net income. From 908 million US\$ to 420 million US\$ (Alcoa Inc. They admitted in their 2002 annual report that this downturn was particularly affected by competition from Chalco (Aluminum Corporation of China) company. And, it’s only one specific example of a company affected by China’s competition.

Moreover, Import Competition has an effect on the Manufacturing Employment rate in developing countries such as the U.S. and Canada. The notable expansion in exports from low-income countries during the analyzed timeframe can be largely attributed to China's shift towards a market-oriented economy. This transformation involved a substantial migration of over 160 million workers from rural to urban areas, granting Chinese industries access to previously prohibited foreign technologies, capital goods, and intermediate inputs. Furthermore, the inclusion of multinational enterprises in China's operations and the country's accession to the World Trade Organization further bolstered its trade prospects, benefiting from the most-favored-nation status among the 159 WTO members. This graph (Chart 5) shows the distinct impact of Chinese import competition on employment in developed countries like the US and Canada. Thus, while overall employment was rising, manufacturing employment was declining, while Chinese import penetration continued to gain momentum. The estimated net loss of jobs as a result of rising Chinese import competition is 228.5 thousand over the 1991-2011 period (Murray 2017). Actual U.S. manufacturing employment declined from 17.25 million workers in 1999 to 11.40 million in 2011. This relationship between Manufacturing Employment in the U.S, Canada, and Import Penetration from China shows us that Import Competition from Labor-Intensive countries not only affects some factors like Trade Balance, GDP, or Stock Market

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Performance, it also has a huge impact on a number of jobs provided in a Manufacturing industry in developed countries.

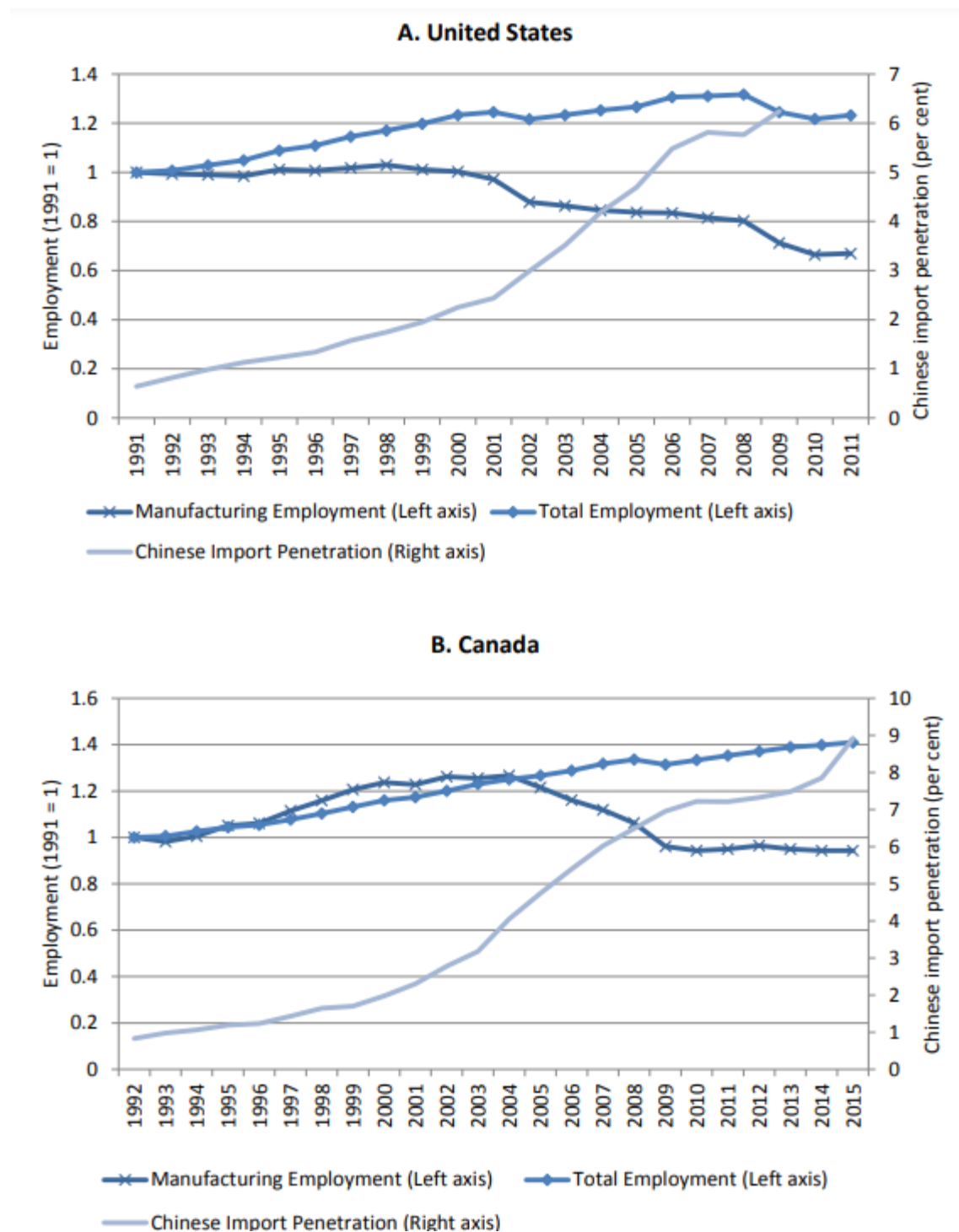


Chart 5. U.S. and Canada Manufacturing Employment and Chinese Import Penetration

Source: Murray, A. (2017).

### Section 3: **“Data Collection”**

I utilized data from the United Nations Comtrade Data Archive, specifically focusing on the United States importing at the six digit Harmonized System product classification level. The availability of data at this level is constrained due to the time it took for countries to adopt the HS classification. Consequently, 1993 is the earliest year for which I was able to gather information on several developed countries. In Section A of Data-Table 1, the first column displays the annual import value of the United States from the Chinese Republic for the years 1993-2007, with all numbers adjusted to US\$2007. Over the span of fourteen years from 1993, the importing balance multiplied by 9, starting at 33.7 BN\$ to 340 BN\$. In contrast, the second column (Chinese Exports) in Section A presents the yearly amount of United States exportations to Chinese for the period from 1993-2007. Throughout these years, the quantity of the United States exporting remained considerably lesser than imports, and the growth rate of imports surpassed that of exports. Thus, the most significant change in United States-Chinese exchange throughout our time frame lies in the substantial increase in U.S.A importation.

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Data-Table 1. The Trade Statistics between China and United States, as well as other selected developed nations, along with the quantity of importing from all other developing countries. The data presented covers the period from 1993 to 2007.

| I. Commerce with China (Billions of US Dollars) |                        | II. Importing from Other Countries (Billions of US Dollars) |                                              |                                          |
|-------------------------------------------------|------------------------|-------------------------------------------------------------|----------------------------------------------|------------------------------------------|
|                                                 | Chinese Imports<br>(1) | Chinese Exports<br>(2)                                      | Imports from Low-Income<br>Countries.<br>(3) | Imports from rest of the<br>World<br>(4) |
| <u><i>A. United States</i></u>                  |                        |                                                             |                                              |                                          |
| 1993                                            | 33.7                   | 8.8                                                         | 7.7                                          | 905.8                                    |
| 2000                                            | 100.1                  | 16.2                                                        | 22.8                                         | 1865.5                                   |
| 2007                                            | 340.0                  | 65.2                                                        | 45.4                                         | 2365.9                                   |
| Growth (1993-<br>2007)                          | 908%                   | 641%                                                        | 489%                                         | 161%                                     |
| <u><i>B. 8 Other Developed Countries</i></u>    |                        |                                                             |                                              |                                          |
| 1993                                            | 28.2                   | 26.6                                                        | 9.2                                          | 1708.8                                   |
| 2000                                            | 94.3                   | 68.2                                                        | 13.7                                         | 1979.8                                   |
| 2007                                            | 262.8                  | 196.9                                                       | 31.0                                         | 3339.3                                   |
| Growth (1993-<br>2007)                          | 832%                   | 639%                                                        | 236%                                         | 95%                                      |

Please note that the trade data provided in this study pertains to the years 1993, 2000, and 2007. In Panel B, the category of "Other Developed Countries" includes Finland, Denmark, Spain, Germany, Australia, Switzerland, New Zealand, and Japan. Column 3 represents importing from all nations named as low-inc by the ranking of the World Bank (1989), excluding Chinese. Column 4 accounts for importing from all other countries, primarily comprising developed nations.

In Section A, the third column provides an overview of import values from 50 developing countries primarily positioned in Asia and Africa continents. Meanwhile, importation from these regions witnessed notable growth over the study period, the rate of expansion was comparatively less remarkable than that observed in relation to imports from China. Section B outlines trade activities from those identical exporting countries to the set of 8 well-to-do countries nations situated in Europe, Asia, and the Pacific, namely Australia, Denmark, Finland, Germany, Japan, New Zealand, Spain, and Switzerland. Similar to the United States, these nations faced a significant upsurge in imports from China between 1993-2007, along with a slight moderate increase in importing from low-inc countries. I concentrate on these Developed Nations due to the availability of detailed Harmonized System trading information beginning from 1993, making them suitable for our analysis. All of the data connected with the stock or index performances were gathered from the Nasdaq database and MicroTrends.com.

- **Conclusion**

I started by explaining the origin of the term import competition, and later gave the example of the Japanese Stock Exchange and the US Stock Exchange, making the chart based on the historical performance of the two major trade indices of these countries and merging them with the trade balance of these two countries. This is followed by a review of the literature, here I analyzed a large number of papers written on related topics and made 2 of my hypotheses, which I tried to prove in the investigation. Then the main body of the research work began, where I described the different views of the authors on the topic of the beginning of import competition, later I described the importance of China in this process. In the second section of the research paper, I tried to prove my hypotheses through historical charts and data. I described the impact of import competition on the

decision not to pay dividends and delist the company from the stock exchanges, citing graphs showing this. Most of the local firms that were subjected to these processes were small firms. After that, I looked for specific examples of the impact of import competition on companies included in the Dow Jones Industrial Average and gave the example of Alcoa Inc. I analyzed their annual financial statements and came to the conclusion that their fall was provoked by a change in the structure of the market by the Chinese company. After that, I identified the impact of import penetration on manufacturing employment through the examples of Canada and the United States. This is followed by my trade datasheet between the US, China, Low-income countries, and eight developed countries, I collected all the information through the UN Comtrade database.

It is true that China and other developing countries have shocked the entire developed world with their competition. But, both sides benefited, residents of developed countries received a huge amount of high-quality and affordable goods that improved the quality of life of residents. And just like that, the developing side has provided millions of poor people with jobs. "Not to mention the incredible increase in the living standards of workers in China who not long ago were quite poor" (Murray. A, 2017)

- **Future Directions for Research**

Despite the fact that many research papers have been written about import competition, there have been only a few papers describing the impact of this component on the stock market and its behavior. I believe that my research work will help fill this gap. Of course, there are many limitations in this research work of mine. The empirical analysis is limited in scope, and the discussion primarily revolves around general trends and effects without extensive quantitative analysis. Therefore, it is recommended that future research be able to statistically validate the claims made in this article, especially for Section 2, which discusses stock market movements.

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